

hinge on putting aside a set percentage of your salary, but on making a commitment to live on the essentials.

Research from Bankwest shows that, on average, most Australian couples take four years to save a deposit – and in some capital cities, like Sydney, up to eight years – and that seems an impossibly long time to stay stingy. Sacrifice is the devil of discipline. Allocate a little for enjoyment – a glass of wine with friends, a takeaway dinner on a tired Friday night, a movie with your partner. Some simple pleasures will help to keep you on track for the long term.

There are guaranteed to be parts of your life where money is trickling through your fingers. Financial planner Kane Jiang says, ‘Identify where the “leaks” are on paper. You would be amazed at how much you can save by removing the following items from your budget.’ This is his hit list:

- Cigarettes, one pack a day = \$4500 per year
- Beer, one pint a day = \$3500 per year
- Coffee, one cup a day = \$1500 per year
- Cinema once a week, per couple = \$1500 per year
- Dining out twice a week, per couple = \$5000 per year
- Annual overseas holiday = about \$5000 per year
- Total amount saved by giving up these things in a year = \$20,000-plus.

Financial planners will drill down into your spending, like this, and suggest small but meaningful changes. In my experience, it is these little amounts – otherwise spent on movies, coffee and alcohol – that turbocharge savings. It’s a well-worn mantra, but consider making a 12-month commitment to waiving six regular things you enjoy doing, and watch your savings balloon. If you do this, you can ignore what the baby boomers say about giving up café brunches; you will be able to have these occasionally, without guilt or too great an impact on your hip pocket.

### **Part 3: Weighing up your budget**

Decide on your priorities. What are your non-negotiables when it comes to spending?